

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MSRF, INC., *Complainant*

v.

HMM CO. LTD., *Respondent*.

DOCKET NO. 22-20

Served: April 15, 2024

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

ORDER DENYING RESPONDENT’S PETITION FOR ATTORNEY FEES¹

I. INTRODUCTION

A. Overview

On January 25, 2024, Respondent HMM Co. Ltd. (“HMM”) filed a Motion for Attorney’s Fees² (hereafter, “Petition”) in this proceeding which became administratively final on December 22, 2023. Complainant MSRF, Inc. (“MSRF”) filed its Response in Opposition to Respondent’s Motion for Attorney’s Fees (“MSRF Opposition to Attorney Fees”) on February 14, 2024.

MSRF manufactures and imports gourmet foods and gifts. MSRF commenced this proceeding by filing a complaint alleging that HMM, a vessel-operating ocean common carrier, violated 46 U.S.C. §§ 41102(c) and 41104(a)(2), (5), (9), and (10) of the Shipping Act of 1984, as amended (“Shipping Act”). Specifically, MSRF alleged that HMM “refused to provide MSRF enough commitments in its advance service contracts, instead providing only a fraction of the space MSRF needed at substantially higher prices;” then “proceeded to breach its limited commitments by refusing to honor its service contract;” which forced MSRF to purchase space on the spot market at higher prices; meanwhile reselling “the capacity allotted to MSRF . . . to other shippers on the same spot marked at substantially higher rates than those to which it agreed in the service contract.” Complaint at 5-7.

HMM denied the allegations and raised numerous affirmative defenses, including lack of jurisdiction; failure to state a claim under which relief may be granted; failure to allege essential

¹ This order will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this order within twenty-two days of the date of service of the order. 46 C.F.R. § 502.254(h).

² Respondent’s Motion for Attorney’s Fees is being accepted and referenced as a Petition for Attorney Fees.

elements under the various sections of the Shipping Act alleged; that the service contract at issue “contains Complainant’s exclusive remedies;” the Federal Maritime Commission (“Commission” or “FMC”) does not have “the authority to award damages for a breach of contract claim;” HMM’s conduct was reasonable; third parties were responsible for any alleged damages; and “Complainant has failed to mitigate its damages.” Answer at 8-9.

On November 22, 2023, the Initial Decision (“ID”) issued, denying MSRF’s claims, concluding that:

MSRF entered into a service contract with HMM, which was amended 14 times, yet MSRF’s claims primarily rely on the service contract as originally enacted, prior to the amendments. Many of the 14 amendments were at the initiation or for the benefit of MSRF, including the addition of shipping lanes and the continuation of 2021 prices during the contract extension. The duration of the service contract was extended by amendment, and through the end of the contract, HMM carried almost double the minimum quantity commitment of cargo (“MQC”). MSRF fails to acknowledge the ongoing communication and negotiation between parties that led to the amendments from which MSRF derived a substantial financial benefit. MSRF does not claim (and the evidence also does not support) that any kind of collusion or undue pressure led it to agree to these amendments.

Initial Decision at 2-3.

On December 26, 2023, the Commission issue a Notice Not to Review the Initial Decision.

B. Procedural History

On August 19, 2022, the Commission issued a notice of filing of complaint and assignment, initiating this proceeding. On September 13, 2022, HMM filed an answer to the complaint. On September 26, 2022, the case was reassigned to the undersigned. On October 6, 2022, a scheduling order issued.

On November 29, 2022, MSRF filed a motion requesting an extension of time for the parties to complete the depositions of fact witnesses, to which HMM consented. On November 30, 2022, the extension of time was granted.

On December 15, 2022, the parties filed a joint motion for entry of a confidentiality stipulation and a proposed protective order (“Protective Order Motion”). On January 4, 2023, an order granting the confidentiality stipulation and protective as revised issued. On January 13, 2023, an amended scheduling order issued.

On April 21, 2023, MSRF filed a motion for summary decision, in addition to proposed findings of fact, appendix, and a motion for confidential treatment.³ On April 24, 2023, the undersigned issued an order *sua sponte*, accepting MSRF's motion for summary decision as its initial brief. On May 12, 2023, HMM filed its opposition brief, proposed findings of fact, response to MSRF's proposed findings of fact, appendix, and a motion for confidential treatment. On May 24, 2023, MSRF filed a reply brief, response to HMM's proposed findings of fact, and motion for confidential treatment.

On May 26, 2023, an order to correct filings issued due to both parties over-designating testimony and documents as confidential, as well as designating as confidential information that it had previously made public. The parties were ordered to resubmit confidential and public appendices, proposed findings of fact, missing table of contents and confidential request table, if not previously submitted, and supplemental motions for confidentiality.

On June 5, 2023, HMM filed a motion to strike portions of MSRF's reply brief, or alternatively, for leave to file a sur-reply, asserting that MSRF improperly raised both new facts and new arguments in its reply brief. On June 9, 2023, MSRF filed an opposition to HMM's motion to strike, but assented to HMM filing a sur-reply.

On June 9, 2023, MSRF submitted the requested filings, including a corrected public and confidential version of its appendix (exhibits labeled as "CX"), a corrected response to HMM's proposed findings of fact, and a supplemental motion for confidential treatment. Also on June 9, 2023, HMM submitted the requesting filings, including a corrected public and confidential version of its appendix (exhibits labeled as "RX"), proposed findings of fact, a table of contents for its appendix, and a revised motion for confidential treatment.

On June 12, 2023, an order issued denying HMM's motion to strike and allowing HMM to file a sur-reply. On June 22, 2023, HMM filed a sur-reply.

On November 22, 2023, the initial decision was issued, denying MSRF's claims and dismissing the complaint. No exceptions were filed, and on January 25, 2024, Respondent HMM filed the Petition.⁴ On February 20, Complainant filed a timely response to the Petition.

II. DISCUSSION

A. Burden of Proof

The successful party in a private party complaint proceeding under 46 U.S.C. § 41301(a) may petition for an award of attorney fees after the decision becomes administratively final.

³ The email to which these filings were attached indicated that a Motion for Summary Judgment was also attached, but it was not. The missing motion was then provided attached to an email dated April 24, 2023.

⁴ A timely petition is filed "within 30 days after a decision becomes final. For purposes of this section, a decision is considered final when the time for seeking judicial review has expired or when a court appeal has terminated." 46 C.F.R. § 502.254 (c). "In most instances, an aggrieved party has sixty days to seek judicial review of a Commission decision." Statement of Commission, *supra*, at 2, n.7 (FMC 2021), citing 28 U.S.C. §§ 2342(3)(B), 2344.

Howard Coble Coast Guard and Maritime Transportation Act of 2014, 46 U.S.C. § 41305(e), Commission Docket No. 15-06; Statement of Commission *On Attorney Fees*, Commission Docket No. 21-14 (FMC 2021). The “fee applicant bears the burden of establishing entitlement to an award and documenting the appropriate hours expended and hourly rates.” *Hensley v. Eckerhart*, 461 U.S. 424, 437 (1983); 46 C.F.R. § 502.254(d). *See also*, *Blum v. Stenson*, 465 U.S. 886, 895 n. 11 (1984) (“[Courts properly have required prevailing attorneys to justify the reasonableness of the requested rate or rates.”). Here, HMM filed the petition and has the burden of proof. Moreover, Commission Rule 254 states that the appeal of an award of attorney fees is governed by the procedures in 46 C.F.R. § 502.227. 46 C.F.R. § 502.254(h).

B. Arguments of the Parties

HMM asserts that it is eligible for an award of attorney fees because it was the prevailing party when the Initial Decision by the undersigned denied the complaint against HMM, and it subsequently became the final decision when no exceptions were filed, and the Commission served Notice to Not Review dated December 26, 2023. HMM also asserts that it is entitled to attorney fees because “the overarching consideration, three general principles, and several factors” discussed in the Statement of the Commission all favor such an award. Petition at 14, citing Statement of Commission at 3. Specifically, HMM states that an award serves the purposes of the Shipping Act—the overarching consideration—“by discouraging frivolous cases brought by improper motivations or which are factually and legally unsustainable.” Petition at 14. It further contends that “[t]he three general principles contained in the Guidelines support the exercise of discretion in granting the [Petition].” *Id.* at 15. Those three general principles are discussed in more detail below. Finally, HMM states that “[t]he Guidelines identify five non-exclusive factors: frivolousness and objective unreasonableness..., motivation, litigation misconduct, deterrence, and compensation” and all favor an award of attorney fees.

MSRF contends that HMM is not eligible for attorney fees because while the complaint was denied, it was not dismissed with prejudice. MSRF states that only “proceedings dismissed by the Commission with prejudice materially alter the legal relationship of the parties because any action so dismissed cannot be brought again.” Response at 6, referencing *Baltic Auto Shipping, Inc. v. Hitrinov*, Docket No. 14-16, 2017 WL 492488 (FMC Oct. 2017) at *9. MSRF further asserts that neither the overarching consideration, nor the principles or factors on which the decision-maker can rely, support an award of attorney fees.

C. Eligibility for Attorney Fees

On March 1, 2016, the Commission amended its Rules and Regulations governing the award of attorney fees to implement the statutory amendments made by the Howard Coble Coast Guard and Maritime Transportation Act of 2014, Pub. L. No. 113-282, § 402, 128 Stat. 3022 (Dec. 18, 2014); see generally Docket No. 15-06.

§ 502.254 provides:

- (a) *General.* In any complaint proceeding brought under 46 U.S.C. 41301...the Commission may, upon petition, award the prevailing party reasonable attorney fees.

(b) *Definitions.*

Attorney fees means the fair market value of the services of any person permitted to appear and practice before the Commission in accordance with subpart B of this part.

Decision means:

- (1) An initial decision or dismissal order issued by an administrative law judge;
- (2) A final decision issued by a small claims officer; or
- (3) A final decision issued by the Commission.

46 C.F.R. § 502.254

“The term ‘prevailing party’ ...is a ‘legal term of art,’ and is ‘interpreted...consistently’” and the premise is “‘the material alteration of the legal relationship of the parties in a manner which Congress sought to promote in the fee statute.’” Final Rule, 81 Fed. Reg. 10,511-12 (Mar. 1, 2016) (citing *Smyth v. Rivero*, 282 F.3d 268, 274 (4th Cir. 2002) (citations omitted) and *Texas State Teachers Ass’n v. Garland Indep. Sch. Dist.*, 489 U.S. 782, 792-93 (1989)).

“A [respondent] prevails ‘whenever the plaintiff’s challenge is rebuffed, irrespective of the precise reason for the court’s decision.’” *The Highland Consulting Grp. V. Soule*, 19-CV-81636-RLR/BER (Feb. 8, 2024) (rec. of Mag.), citing *CRST Van Expedited, Inc. v. E.E.O.C.*, 578 U.S. 419, 431, 136 S. Ct. 1642, 1651 (2016) (other citations omitted). In *CRST*, the Supreme Court noted that parties “come to court with different objectives” and in filing a complaint, “[a] plaintiff seeks a material alteration in the legal relationship between the parties.” *Id.* Similarly, [t]he defendant...seeks to prevent this alteration to the extent it is in the plaintiff’s favor.” *Id.* Moreover, “[t]he defendant may prevail even if the court’s final judgment rejects the plaintiff’s claim for a nonmerits reason.” *Id.*

MSRF asserts that because its complaint was not dismissed with prejudice, there is no material alteration of the legal relationship of the parties, citing to fee petition orders in cases that were dismissed with prejudice for failure to prosecute (*Edaf Antillas, Inc. v. Crowley Caribbean Logistics, Inc.*, Docket No. 14-04, 2016 WL 5110081 (F.M.C. Sept. 14, 2016) (“*Edaf*”), and on a motion to dismiss (*Logfret, Inc. v. Kirsha, B.V. Leendert Johanness Bergwerff a/k/a Hans Bergwerff, and Linda Sieval*, Docket No. 18-10, 2020 WL 13512913 (ALJ Feb. 20, 2020), *aff’d* 2020 WL 3468691 (F.M.C. June 22, 2020)). If MSRF’s argument that an administratively final decision denying a complaint on the merits cannot be considered a material alteration of the legal relationship of the parties were accepted, a respondent who rebuffed a complaint after adjudication on the merits would not be eligible for attorney fees. This interpretation of the phrase is not consistent with the Commission’s statement in *Edaf* that “Rule 72 states that a dismissal for failure to prosecute or obey an order will be considered an adjudication on the merits. 46 C.F.R. § 502.72(b).” *Supra* at *4. Moreover, MSRF does not argue that it could bring the action again. In addition, as discussed above, the definition of decision includes an “initial decision . . . issued by an administrative law judge.” 46 C.F.R. § 502.254. Accordingly, an adjudication on the merits that results in an administratively final decision that is not appealed must result in a material alteration of the legal relationship of the parties.

In the case *sub judice*, there was a material alteration of the legal relationship of the parties in the form of a determination on the merits and a denial of the complaint (there was no dismissal without prejudice, as MSRF's argument implies), which became administratively final when MSRF did not appeal the Initial Decision and the Commission issued a Notice Not to Review. Applying the definition of a prevailing party in *CRST*, HMM prevailed by successfully rebuffing MSRF's complaint. As the prevailing party in the case, HMM is eligible for attorney fees.

D. Entitlement to Attorney Fees

The next step in the inquiry is whether HMM is entitled to attorney fees. In the Final Rule, the Commission stated that the "primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act, and any factors the Commission relies upon in individual cases should be consistent with these purposes." Final Rule, 81 Fed. Reg. at 10,509 10,515 (citing to *Fogerty v. Fantasy, Inc.*, 510 U.S. 517, 534 n. 19 (1994)). In making such a determination, the Commission noted that "the Shipping Act's several purposes provide support for treating prevailing complainants and prevailing respondents in an even-handed manner...." *Id.* at 10,514.

In *Edaf*, the Commission discussed the application of the Third Circuit list of "nonexclusive factors" that the Supreme Court in *Fogerty* agreed "may be used to guide courts' discretion..." including "'frivolousness, motivation, objective unreasonableness (both in the factual and in the legal components of the case) and the need in particular circumstances to advance considerations of compensation and deterrence.'" *Edaf* 2016 WL 5110081 at *5 citing *Fogerty* at 534 n.19 (quoting *Lieb v. Topstone Industries, Inc.*, 788 F.2d 151, 156 (3d Cir. 1986) (internal quotations omitted)).

HMM asserts that MSRF's complaint was "meritless and frivolous because the Complaint was copied from an unrelated action." Petition at 5. It also contends that copying allegations from another complaint demonstrates that the claims are objectively unreasonable. Petition at 16. Further, HMM argues that MSRG "knew its central factual allegation was false" because MSRF agreed to and then benefitted from the 10-week extension of the contract. *Id.* Thus, HMM asserts that because the contract was extended, MSRF "knew at all times that its basic contention that HMM failed to carry the MQC was false." *Id.* HMM also contends that "all five of MSRF's Shipping Act claims were found to have no factual or legal basis or were abandoned" which demonstrates that they were frivolous, meritless, and objectively unreasonable. *Id.*

No authority is cited by HMM regarding why using another complaint as a template is frivolous, and none has been found by the undersigned. The use of other cases' pleadings as templates is not prohibited by law or regulation, and especially in a first-time filing with a court or agency with which one is not familiar, is practical. Using another case pleading as a template is not "*per se* objectively unreasonable and frivolous" as urged by HMM. Petition at 17 n.13. It is hard to imagine that any person—from a large law firm to a *pro se* litigant—does not from time to time use previous pleadings as templates.

“The mere fact that respondent has prevailed does not render a complainant’s claims objectively unreasonable, otherwise prevailing respondents would be per se entitled to attorney fees, an approach the Commission has rejected.” *Logfret*, *supra* at *4 (citations omitted).

As HMM stated during the course of the proceeding and in petition, it had a year-long service contract with MSRF, and by the final two weeks of the service contract, it had accepted less than half of the amount of forty-foot equivalent units (FEUs) that it had agreed to ship from Asia to the United States. Petition 3-5. MSRF contends that while HMM offered the extension of the contract in the final few weeks of the original contract duration, and then in the 10-week extension period shipped more than the originally contracted FEUs, “[t]hat HMM later provided additional space pursuant to Amendment 13, does not erase the harm that MSRF suffered during the initial period of the Service Contract.” MSRF Opposition to Attorney Fees at 11. HMM is correct that MSRF failed to prove that this series of events violated the Shipping Act, but there was no finding that the claims were frivolous, and there is none now. This factor does not weigh in favor of attorney fees.

The factual scenario presented by the underlying case of space accommodation issues during a period recognized by the Commission and by Congress as posing significant supply chain issues is one that is developing in terms of case law and regulation. *See* Federal Maritime Commission 60th Annual Report for Fiscal Year 2021, at 24 (“The COVID-19 pandemic had a significant impact on the global supply chain, including service contract negotiation and implementation.”), 25 (“During the fiscal year, the Commission received 113,068 new service contracts and 645,014 contract amendments, compared to 45,164 and 779,884, respectively, in FY 2020.”); Ocean Shipping Reform Act of 2022, Pub. Law 117-146—June 16, 2022 (amendments regarding space accommodations at 46 U.S.C. Section 41102 (d)(1), and (2)(A)(i),(ii) and (B), Section 41104 (a)(1)(A), B(3), (D), and G(14)).

The Commission noted in its affirmation of the denial of attorney fees in *Logfret*, “[a]s the ALJ pointed out, there is little Commission caselaw discussing that scenario.” *Supra* at 5. The same is true in the underlying case. Neither party in its briefing relied on case authority that was on all four squares with the underlying case. What MSRF alleged, albeit unsuccessfully—the refusal of HMM to ship 25 FEUs from Asia to the United States during the original term of the agreement, and belief that during that time space that should have been allotted to them was being sold to other shippers willing to pay higher spot market prices—was not a wholly unreasonable argument to make. *See, generally* Complaint; Opposition to Attorney Fees at 3.

HMM argues that MSRF “knew at all times that its basic contention that HMM failed to carry the MQC [minimum quantity commitment] was false.” As detailed above, MSRF alleged that it was denied space during the original duration of the service contract, resulting in it having to resort to the spot market during most of that 12-month period, in violation of the Shipping Act. While the argument did not succeed, HMM has not shown that the allegations “were meritless when made.” Factually, it is accurate that HMM did not accept the full MQC, or even half of it, during the original duration, “[a]lthough this was the smallest MQC HMM could consider....” Opposition Brief at 5. Legally, an argument could have been made that the denial of space allocation during that time was a violation of the Shipping Act, but in the instant case, MSRF did not succeed in doing so. This factor does not support attorney fees for HMM.

Next, HMM goes through each count of the original complaint and the Initial Decision and asserts that the claims were “devoid of legal or factual merit.” Petition at 18. While this argument has been addressed above and found not sufficient to support attorney fees, two of the counts warrant further discussion.

HMM argues that “Count III, alleging violations of Section 41101(a)(5), was expressly abandoned by MSRF. ID at 20.” Petition at 19. The Initial Decision said: “In its Brief, MSRF states it is no longer pursuing Count III of the Complaint, which alleged a violation of 46 U.S.C. § 41104(a)(5).” ID at 19; MSRF Brief at 1 n. 1. HMM, as a result, did not discuss Count III in its Opposition Brief. Opposition Brief at Table of Contents (i). Moreover, HMM provides no authority for its contention that withdrawing a claim in an initial brief proves that it was “unreasonably alleged” or amounts to “litigation misconduct” as it later asserts, evoking *Edaf* without comparing the two cases. Petition at 22.

MSRF asserts that unlike the complainant in *Edaf*, it “was fully engaged in the underlying proceedings; complied with the Presiding Officer’s briefing schedule by filing its Brief, CPFF, and appendix; met all deadlines; made corrections to its filing when it was asked to do, and constantly communicated with the Commission and HMM’s attorneys when it was required to do so.” MSRF Opposition to Attorney Fees at 9.

In *Edaf*, a Commission case where attorney fees were granted after the case was dismissed for failure to prosecute, there was a wholesale abandonment of the case by complainant when it failed to file its brief, failed to respond to an order to show cause, and then failed to file a response to the petition for attorney fees. Without more, it is hard to see how a clear statement in the initial briefing that one is abandoning a claim while continuing to pursue others is anything more than a realization that the evidence revealed during discovery did not support continuing it. HMM has not elicited sufficient evidence for this factor to weigh in its favor.

HMM also argues that “Count IV appeared to be implicitly abandoned when MSRF omitted this claim in its Reply Brief.” Petition at 19. Because Count IV was not withdrawn and was included in MSRF’s Initial Brief but not discussed in MSRF’s Reply Brief, it was briefly analyzed and dismissed in the Initial Decision. ID at 20, 28-29; Reply Brief at 3. HMM asserts that both Counts II and IV “were thus copied from the MCS Complaint without any supporting facts or legal theories in this case and then were abandoned at the end of the case.” *Id.* As stated in the Initial Decision, it was unclear if MSRF intended to abandon Count IV or simply failed to address it in the Reply Brief that HMM moved to strike. Regardless, HMM does not provide sufficient evidence to find that the failure to address Count IV in the Reply Brief supports attorney fees.

HMM also asserts that copying from a complaint and revising the damages spreadsheet downward is proof that the claims “were improperly motivated” because “it is obvious that MSRF simply copied allegations it knew were false hoping HMM would settle, the very definition of improper motivation.” Petition at 21.

MSRF counters that it, like the complainant in *Logfret*, is “protective of its business interests and willing to guard these interests through enforcement of all potentially applicable

legal remedies” MSRF Opposition to Attorney Fees at 12. In addition, it did not seek “‘to knowingly gamble on an unreasonable legal theory in order to achieve a secondary gain,’ such as leveraging a settlement.” *Id.*, citing *Logfret*, 2020 WL 3468691 at *7.

No facts beyond using a complaint as a template and revising the damages spreadsheet are mentioned to support the conclusion regarding motivation, and those alone do not establish that the complaint was improperly motivated. As noted by MSRF in its opposition, “HMM fails to cite to any case, administrative decision, or statute/rule” that “[u]sing another complaint as a template” or “[a]mending a damages spreadsheet” is “unlawful or improper,” *Supra* at 12-13.

HMM next asserts that MSRF’s “conduct of this case greatly increased the time and cost of resolving this matter.” Petition at 21. In support of this contention, HMM refers to a consent motion to extend time to complete the deposition of fact witnesses, a damages summary that MSRF revised and replaced, MSRF’s initial brief filing, and HMM’s motion to strike MSRF’s reply brief or file a sur-reply (the motion to strike was denied and a sur-reply was granted).

While the document submitted by MSRF as an initial brief was unconventional (it was styled as a Motion for Summary Decision that was filed on the due date of the brief and accepted for that purpose), there is no evidence that it was meant to harass HMM and it did not cause any delay. MSRF admits that it “erroneously titled its Opening Brief as a Motion for Summary Decision, just like HMM erroneously title the instant papers as a motion rather than a petition as the statute requires.” MSRF Opposition to Attorney Fees at 14.

Regarding MSRF’s initial brief, while it did make it more difficult for HMM to know what to address in its opposition, MSRF suffered the brunt of that error. Other than demonstrating that its attorneys had no experience with proceedings before the FMC, there was no evidence that MSRF willfully tried to delay the proceedings or harass HMM. MSRF’s filing of a timely but unconventional brief, proposed findings of fact, and appendix is not akin to *Edaf*, where the complainant filed no brief, proposed findings of fact or appendix, and then failed to respond to an order to show cause “why its complaint should not be dismissed for failure to prosecute or failure to comply with its discovery responsibilities.” *Edaf* 2016 WL 5110081 at *2. HMM sums up its argument that “[t]he litigation misconduct factor clearly supports granting the [Petition]” by speculating “that MSRF probably assumed [HMM] would just settle the case.” Petition at 22. Such speculation without evidence, does not support finding this factor in favor of awarding attorney fees.

The remainder of HMM’s contentions also are not indicative of harassment or intentional creation of delay. MSRF alleged Shipping Act violations, HMM answered the complaint, and the parties engaged in discovery. HMM did not file a motion to dismiss or a motion for summary judgment. The case proceeded to briefing within the year set by the Commission for an initial decision to issue. Any perceived delay in the proceeding was insignificant and attributable to both parties. For example, the parties jointly requested an amended discovery and briefing schedule, and both parties’ appendices and motions for confidentiality were ordered to be revised because they did not provide good cause for the wholesale redactions of their public filings. Moreover, it is unclear how the damages summary that MSRF prepared and then revised to reflect a lower amount of what it believed were its damages created delay, and as with most of its assertions, HMM does not cite to any authority or go beyond bare assertions to explain it. MSRF

states that it “amended its damages spreadsheet because it recognized certain charges needed to be adjusted. Once it found these errors, MSRF’s counsel immediately relayed such information to HMM’s counsel and amended its damages spreadsheet—how this is misconduct is hard to fathom.” MSRF Opposition to Attorney Fees at 14. There is no litigation misconduct, harassment, or intentional delay proven by these facts.

HMM asserts that it “would not be moving for its attorney’s (sic) fees and costs in this matter if MSRF’s claims had merit” (nor would it be eligible to do so) “but the discovery of the MSC Complaint proves that MSRF’s claims were entirely baseless and simply copied from another case.” Petition at 22. HMM then argues that “MSRF had access to all of the important facts and information ...before it filed the Complaint...” and discovery was unnecessary for it “to prove or disprove” this case. *Id.* This argument is put forth to support its contention that the Commission should award attorney fees because it would “have no impact on those with colorable allegations, though perhaps they will need to draft their own complaints” and “would promote the efficient use of the Commission’s resources by discouraging baseless filings.” *Id.* HMM also argues it should be compensated because it had to defend itself over “meritless and inflated claims copied from another case.: *Id.* at 23. Finally, it claims that awarding it fees would not be inconsistent with Federal caselaw. *Id.* at 24.

MSRF contends that its “claims were based on plausible interpretations of the law and genuine arguments” and awarding attorney fees would “have a detrimental effect on complainants raising potential violations of the Shipping Act.” It further asserts that because HMM did not show the claims were “meritless, frivolous or unreasonable” it should not be compensated. Finally, it distinguishes the federal cases which HMM cites.

The Commission found in *Baltic Auto* that “even if we agreed that deterring frivolous claims was consistent with the purposed of the Shipping Act, an award would not be warranted in this case.” *Supra*, 2017 WL 4924883 at *12. There, as here, the claims were not found to be frivolous. And, as the Commission agreed with the Administrative Law Judge in *Logfret*, “the ‘purposes of the Shipping Act are met when complainants are able to raise potential violations, even under unusual or unique circumstances, without the chilling impact of having to pay Respondents’ attorney fees.’” *Supra*, 2020WL 3468691 at *7, quoting Order Denying Pet. 2020 WL 948583 at *6. The federal court cases are distinguishable from the case *sub judice* and attorney fees are not found appropriate.

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, the findings and conclusions set forth above, it is hereby

ORDERED that Respondent HMM, Co. Ltd.’s Fee Petition be **DENIED**.



Linda S. Harris Crovella
Administrative Law Judge